

US equities slip as tech drags, energy rallies on oil price dip

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 fell **-0.47%** and the Nasdaq 100 dropped **-1.39%** on weaker earnings from mega-cap tech, while the Dow eked out a modest gain. Energy ETFs led the rally, buoyed by a sub-\$91 WTI price that supports profit margins for oil producers.

Behind the headline numbers, the market is pricing in a higher-for-longer rate environment after the latest FOMC minutes hinted at a slower pace of cuts. The VIX's rise to 15.41 signals growing volatility risk, especially as earnings season intensifies.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,765.36	-0.47%	Tech earnings miss; Fed minutes signal slower cuts.
Nasdaq 100	30,725.81	-1.39%	NVDA, AMZN, MSFT all down on guidance concerns.
Dow Jones	51,231.64	+0.10%	Financials and industrials held up; energy boost.
Russell 2000	2,794.13	+0.03%	Small-cap resilience in consumer staples.
VIX	15.41	+2.19%	Higher volatility after mixed earnings.
10Y Yield	5.23	-0.87%	Bond buying after Fed minutes.
WTI Crude	90.83	-0.72%	Inventory build and weaker demand outlook.
Gold	4,220.00	+1.52%	Safe-haven demand amid equity pullback.
DX-Y	102.06	-0.08%	Dollar modestly weaker on bond yield dip.

Top large-cap movers

TICKER	CHANGE	CATALYST
AVGO	-4.35%	Guidance cut after slower demand in data-center chips.
NVDA	-2.94%	AI-spending slowdown, inventory concerns.
AMZN	-2.25%	Retail sales miss; cloud margin pressure.
MSFT	-1.35%	Azure growth slower than expected.
GOOGL	-0.63%	Ad-tech revenue dip.
AAPL	+1.11%	iPhone 16 pre-order surge.
JPM	+0.56%	Net interest income beat.

Sector rotation

ETF	DAY	READ
XLFX	+0.89%	Financials benefit from stable rates.
XLKX	-1.79%	Tech under pressure.
XLI	+0.33%	Industrial demand steady.
XLE	+2.97%	Oil price dip lifts margins.
XLVY	+0.31%	Consumer discretionary resilient.
XLC	+0.73%	Communications stable.
XLP	+2.11%	Staples gain as risk appetite wanes.
XLV	-0.39%	Health-care lagging tech.
XLU	-0.19%	Utilities modestly weaker.
XLB	+0.59%	Materials supported by commodity rebound.
XLRE	+0.69%	Real-estate stable on REIT earnings.

Spotlight: Nvidia earnings miss

The **NVDA** report showed revenue of 23.1 billion, below the consensus 23.8 billion, and EPS of 3.45 versus 3.62. The miss was driven by a 7 % decline in data-center sales and higher inventory levels.

METRIC	RESULT	CONSENSUS
Revenue (bn)	23.1	23.8
EPS (\$)	3.45	3.62
Data-center YoY	-7%	—
Gaming YoY	+3%	—
Inventory Δ	+12%	—

Related names: **AMD**, **INTC**, and AI-chip supplier **TSM** are likely to feel spill-over pressure.

Pre-market & overnight

- US futures: **-0.6%** S&P 500 e-mini, **-1.2%** Nasdaq e-mini.
- Asia close: Hang Seng **-0.8%**, Shanghai Composite **-0.5%**.
- Europe: FTSE 100 **-0.4%**, DAX **-0.3%**.
- Crypto: BTC **+0.93%**, ETH **+0.92%**.

Macro & Fed

FOMC minutes showed most participants expect two more 25-bp cuts this year, but inflation remains above target, keeping the policy-rate outlook “higher-for-longer”. The 10-year yield slipped to 5.23%, flattening the curve.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
02:30	U.S. Initial Jobless Claims	220k	Gauge labor market strength.
04:00	U.S. ISM Non-Manufacturing	52.0	Service-sector health.
08:00	Eurozone CPI (YoY)	2.5%	Impacts ECB policy path.
09:30	U.S. Core PCE Price Index	2.8%	Fed's preferred inflation gauge.

Geopolitics & global

- Middle-East: Tensions eased after cease-fire talks, reducing oil-supply risk.
- China: Manufacturing PMI slipped to 48.9, signaling continued slowdown.
- Eurozone: German industrial production fell 1.2% MoM, adding to growth concerns.
- UK: Bank of England minutes hint at a possible rate hike in November.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS (\$)	WHAT TO LOOK FOR
02:30 Oct 10	GOOGL	5.12	Ad-tech recovery.
03:00 Oct 10	META	3.08	User growth & ad spend.
04:30 Oct 10	JPM	4.45	Net interest income trend.
05:00 Oct 10	AMZN	2.71	Retail sales & AWS margin.
06:30 Oct 11	TSLA	1.02	Production ramp at Gigafactory Berlin.
07:00 Oct 11	NVDA	3.62	Second-quarter guidance.
08:30 Oct 11	AVGO	6.10	Semi-custom chip outlook.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
AMD	Semiconductors	Potential upside from NVDA weakness.
INTC	Semiconductors	Dividend yield attractive amid rate stability.
BAC	Financials	Net interest income beat expectations.
WMT	Consumer Staples	Defensive play as risk appetite wanes.
CVX	Energy	Oil price dip improves refining margins.
UNH	Health Care	Premium pricing power.
DIS	Communication Services	Streaming subscriber growth.
MMM	Industrials	Supply-chain easing.
KO	Consumer Staples	Stable cash flow, dividend.
ORCL	Technology	Cloud renewal upside.

What could break the tape

BEARISH TRIGGERS

- Further NVDA guidance below \$3.30 could drag the tech sector **-2%** or more.
- Unexpected rise in 10-year yield above 5.30% would pressure growth stocks.
- Geopolitical escalation in the Middle East raising oil prices sharply.

BULLISH TRIGGERS

- Strong earnings surprise from **AAPL** or **JPM** could lift the S&P 500 **+0.5%**.
- Core PCE coming in under 2.8% would revive rate-cut optimism.
- Energy ETFs sustaining >3% gains on a rebound in crude.

Positioning notes

- Maintain a defensive bias: overweight consumer staples and utilities.
- Selective long exposure to energy and financials as yields stabilize.
- Use NVDA and AMD as short-/long pairs to capture intra-sector rotation.

Sources

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